PORTFOLIO PROJECT · REAL DATA: BANK OF CANADA AND STATISTICS CANADA, 2010 TO 2026

Household credit and interest rates: how fast does borrowing respond?

Start here: the question, three findings, and how to use this report.

The question: When the Bank of Canada moves rates, how long before household borrowing and debt-service pressure change?

Household credit growth

Peak growth was 8.7% in May 2022

4.1%

Growth has slowed from its 2022 peak as rates rose.

Prime rate now

Peak was 7.20% in Jul 2023

4.45

The prime rate moved up fast in 2022 and 2023, then eased.

Strongest lag

Correlation -0.52: credit growth slows after rate rises

18 months

The exact lag depends on the method, so read it as about 1.5 years.

How to use this report

- Use the page tabs (bottom in Desktop, left in the Service) to move between pages.
- Rates: the policy rate, prime rate and 5-year mortgage rate over time.
- Credit: how household credit and each category has grown.
- Rate lag: pick a lag in months; the scatter and the correlation update.
- Reset filters clears every slicer. The Year filter carries across pages.

About the data and model

- Sources: Bank of Canada Valet API and Statistics Canada tables 36-10-0639, 38-10-0238 and 11-10-0065.
- Market-level data only: no customer or account records, and no delinquency data.
- Star schema: monthly credit and rate facts, quarterly debt service, and Date, Category and Debt measure dimensions.
- Credit runs to Aug 2026, rates to Oct 2026 and debt service to Apr 2026, so each chart shows its own end date.

Main limit: rates and credit both trend, so the lag is descriptive and not proof of cause. The strongest lag is about 18 months using the 12-month change in the prime rate, and about 8 months using the rate level.

PORTFOLIO PROJECT · REAL DATA: BANK OF CANADA AND STATISTICS CANADA, 2010 TO 2026

Rates rose fast in 2022 and 2023, then eased

The Bank of Canada policy rate, prime rate and 5-year mortgage rate, monthly.

Year

All

The prime rate is 4.45%, down from a peak of 7.20% in Jul 2023.

Reset filters

Prime rate (%)

As of Oct 2026

4.45

5-year mortgage rate (%)

1.74 pts above prime

6.19

Policy rate (%)

As of Oct 2026

2.50

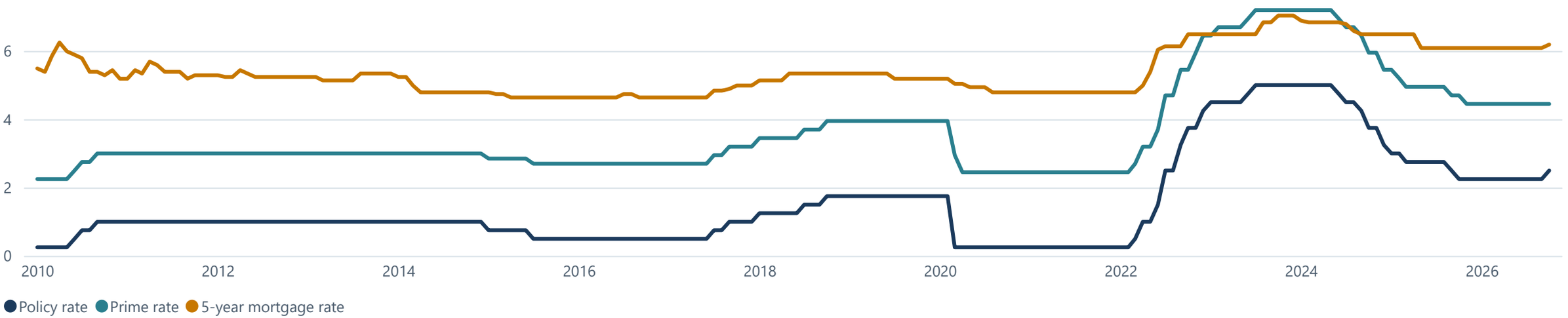
Highest prime rate since 2010 (%)

Peak was 7.20% in Jul 2023

7.20

Policy, prime and mortgage rates by month

Prime follows the policy rate closely; the mortgage rate moves with a smaller gap.



Read with care: rates are shown to two decimals because that is how they are published. Prime and mortgage rates are weekly series, so each month shows the last weekly value.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026

PORTFOLIO PROJECT · REAL DATA: BANK OF CANADA AND STATISTICS CANADA, 2010 TO 2026

Household credit growth has slowed from its 2022 peak

Balances and year-over-year growth, seasonally adjusted, for the total and each credit category.

Year

All

Household credit is $3.3 trillion and growing 4.1% a year, down from a 8.7% peak.

Reset filters

Household credit

As of Aug 2026

$3.3T

Growth vs a year earlier

Peak growth was 8.7% in May 2022

4.1%

Mortgages' share of credit

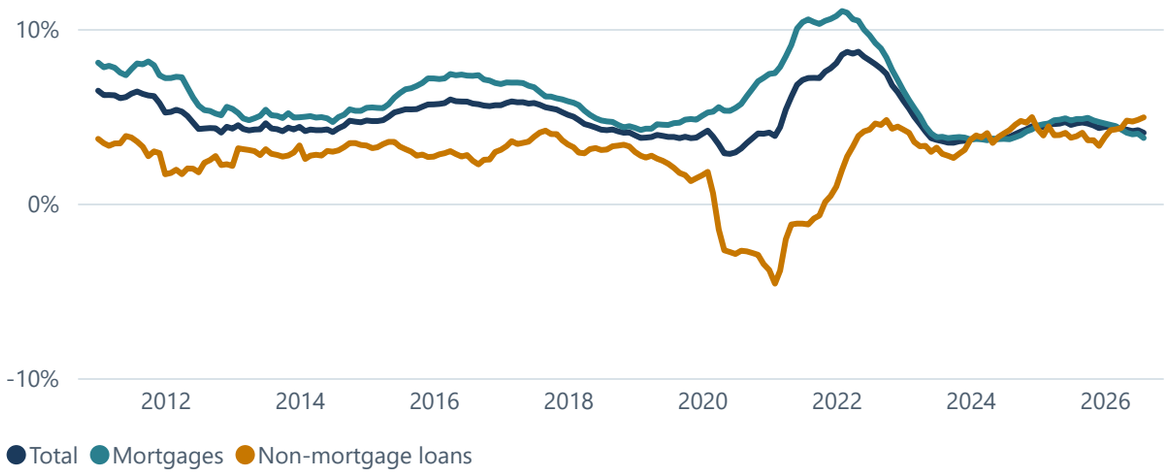
74.5%

Non-mortgage loan growth

4.9%

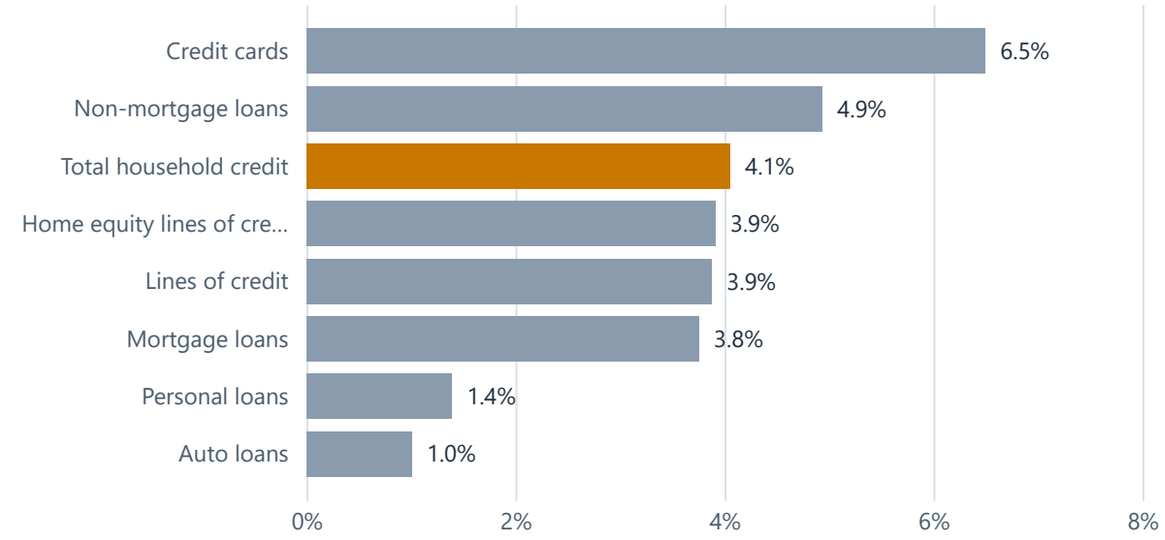
Credit growth by month

Year-over-year growth for the total, mortgages and other loans.



Latest growth, by category

Credit cards grow fastest; auto loans and personal loans barely grow.



Category scorecard

Latest balance, a year earlier and growth. Categories overlap (mortgages are part of the total), so balances do not add up.

Category	Balance ($B)	Growth vs a year earlier	Balance a year earlier ($B)
Total household credit	3,298.2	4.1%	3,169.8
Mortgage loans	2,457.7	3.8%	2,368.9
Non-mortgage loans	840.4	4.9%	800.9
Lines of credit	254.3	3.9%	244.9
Home equity lines of credit	184.7	3.9%	177.7
Personal loans	129.9	1.4%	128.2
Credit cards	121.2	6.5%	113.8
Auto loans	110.4	1.0%	109.3

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026

PORTFOLIO PROJECT · REAL DATA: BANK OF CANADA AND STATISTICS CANADA, 2010 TO 2026

Credit growth slows about 18 months after rates rise

Compare credit growth with the prime-rate change a chosen number of months earlier.

Lag in months

18

Credit growth responds most to a rate change after about 18 months. Use the lag selector to compare other lags.

Reset filters

Correlation at the selected lag

Credit growth vs prime rate, 18 months earlier

-0.52

Strongest lag

Correlation -0.52: credit growth slows after rates rises

18 months

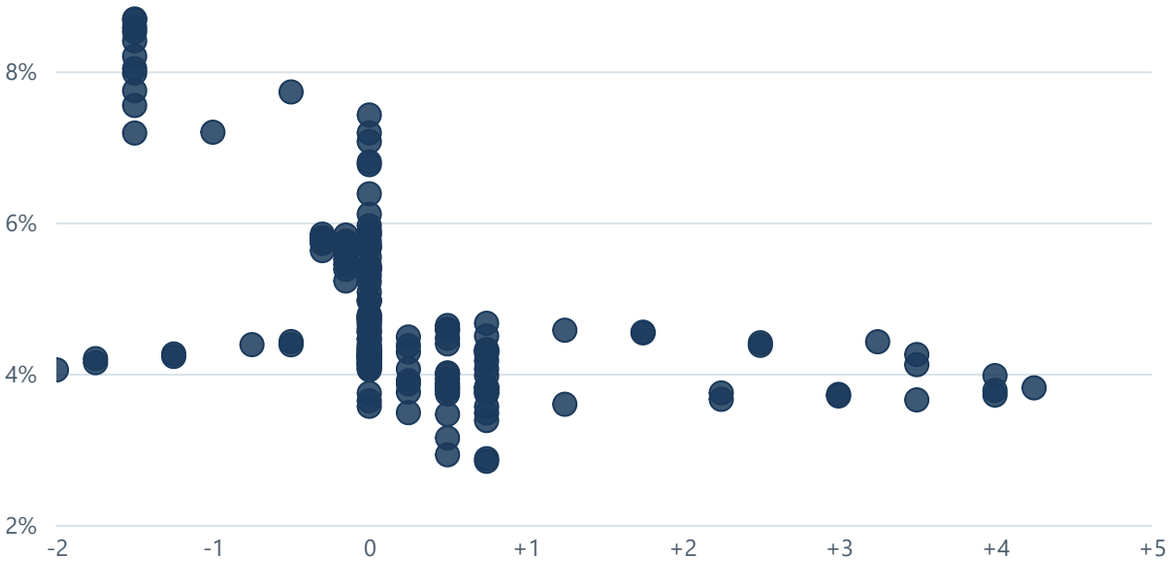
Debt service ratio, latest

As of Apr 2026. Peak was 15.2%.

14.5%

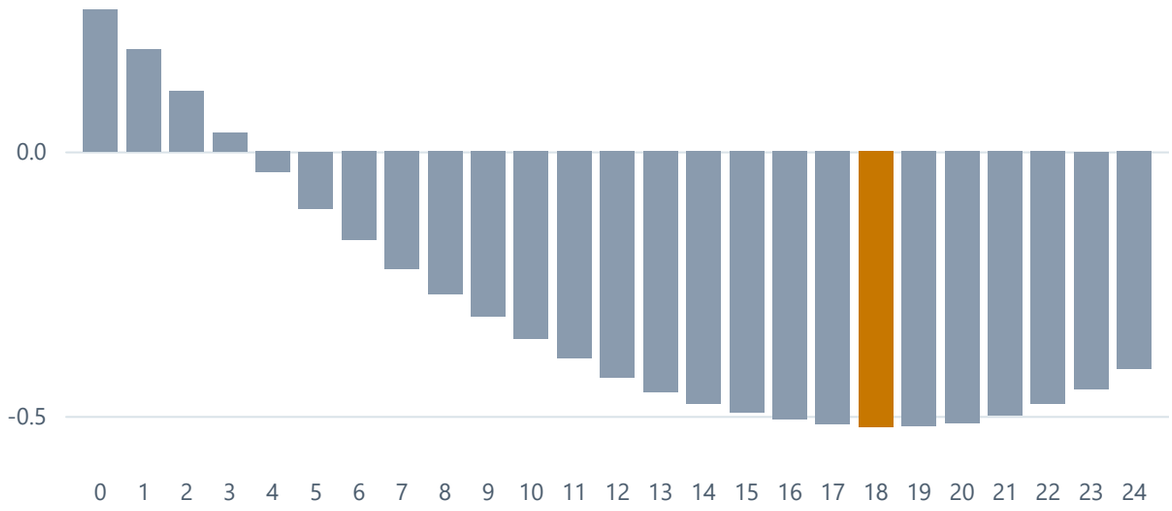
Credit growth against an earlier rate change

Each dot is a month. Change the lag to see the pattern shift.



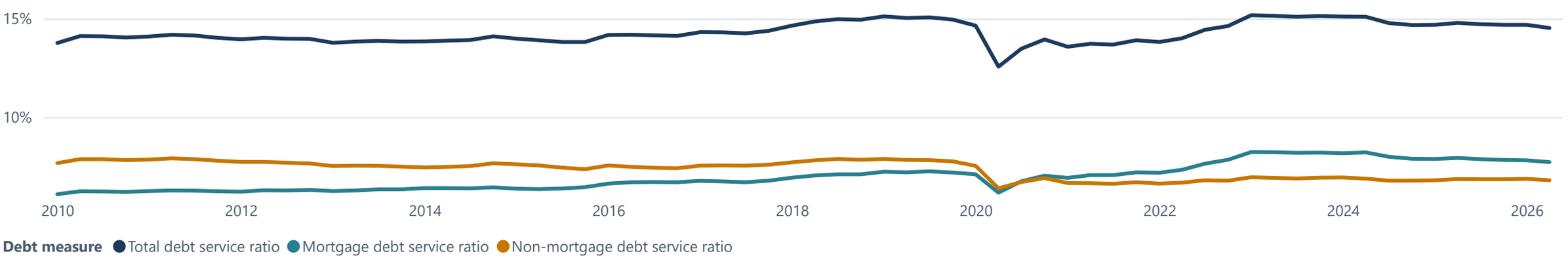
Correlation by lag

Negative means credit growth is lower after rates rise. The strongest value is highlighted.



Debt service ratio by quarter

Share of household income going to debt payments, seasonally adjusted at annual rates.



Limit: correlation is not causation: rates, inflation and the economy all move together. Credit growth and the rate change both trend, and the 12-month windows overlap, so treat the lag as a pattern and not a precise delay.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026